LINDQVIST
Benefits Consulting
80 South Eighth Street, Suite 2210, Minneapolis, MN 55402

26 February 2027

Joyce Salinas
Director of Risk Management and Benefits
Red Cedar Valley Schools

cc: Anthony Olsen, Chief Financial Officer

Re: Employee Health Plan, funding rates for the plan year 1 July 2027 to 30 June 2028

Dear Joyce,

This letter sets out our recommended funding rates for the 2027-28 plan year. Anthony and I went through the draft on 23 February; the only change since the draft we sent on 19 February is the stop-loss premium, which Wyecliff confirmed on 22 February.

Experience. We used Ellery's medical claims and Quarrystone's pharmacy claims incurred from January 2025 to December 2026 and paid through 31 January 2027, with member months from Ellery's eligibility. Bramwell's 2024 history is not in the District's warehouse and we did not use it. Claims are taken at their allowed amounts, net of replacement and void claims and pharmacy reversals; pharmacy is before rebates, which we treat as a separate credit. Exhibit 1 summarises the experience. We completed 2026 medical claims with the factors in Exhibit 2, which we derived from the plan's own payment pattern on claims incurred in the second half of 2025. Pharmacy claims are paid at the point of sale and need no completion.

Trend. We are holding annual trend at 6.5 per cent for medical and 9.0 per cent for pharmacy, unchanged from last year's renewal. The pharmacy rate reflects GLP-1 and specialty growth on the Quarrystone formulary; we will look at it again after the 2026 rebate true-up in June.

Projection. We projected the 2026 completed experience 18 months, from the middle of calendar 2026 to the middle of the 2027-28 plan year. That gives $515.43 per member per month for medical and $233.04 for pharmacy, $748.47 in total, before fixed costs.

Fixed costs. Ellery's administrative fee is $38.75 per employee per month from 1 January 2027. Wyecliff renewed the specific stop-loss for calendar 2027 at a $300,000 deductible with no individual lasers, at $78.20 per employee per month, and the aggregate cover at $4.15. Northcourt's administrative fee under the new care management agreement is budgeted outside the funding rates, as is any shared savings payment, and we have not taken credit for programme savings in the projection. We have kept the 3 per cent margin.

Recommended rates. On this basis we recommend the monthly funding rates below, an increase of 5.5 per cent on the current rates on the District's enrolment as of February 2027.

Coverage tier	PPO 2026-27	PPO 2027-28	HSA plan 2026-27	HSA plan 2027-28
Employee	$1,058.40	$1,116.75	$861.20	$908.68
Employee + spouse	$2,201.30	$2,322.65	$1,791.10	$1,889.84
Employee + child(ren)	$1,873.60	$1,976.89	$1,524.40	$1,608.44
Family	$3,002.70	$3,168.23	$2,443.10	$2,577.78

Please call me with any questions before the Board's 25 March meeting.

Sincerely,

Michael Perry, FSA, MAAA
Principal and Consulting Actuary

Exhibit 1. Experience, incurred January 2025 to December 2026, paid through 31 January 2027

	2025	2026
Member months	70,904	71,200
Medical allowed, paid	$34,651,455	$32,288,207
Medical allowed, completed	$34,651,455	$33,390,737
Pharmacy allowed, before rebates	$12,996,378	$14,580,582
Medical per member per month	$488.71	$468.97
Pharmacy per member per month	$183.30	$204.78
Total per member per month	$672.00	$673.75

Member months and claims on the same basis as the 2026-27 renewal. 2025 medical claims are treated as complete.

Exhibit 2. Medical completion factors, 2026 incurred months, paid through 31 January 2027

Incurred month	Completion factor
January 2026	1.000
February 2026	1.000
March 2026	1.000
April 2026	1.000
May 2026	1.000
June 2026	1.000
July 2026	0.999
August 2026	0.992
September 2026	0.971
October 2026	0.943
November 2026	0.901
December 2026	0.807

Completed claims are paid claims divided by the factor. Factors are the share of the final allowed amount for claims incurred July to December 2025 that had been paid the same number of months after the incurred month.

Exhibit 3. Projection to the 2027-28 plan year (per member per month)

	Medical	Pharmacy
2026 completed experience	$468.97	$204.78
Annual trend	6.5%	9.0%
Months, 1 July 2026 to 1 January 2028	18	18
Projected 2027-28	$515.43	$233.04